Case for Case Analysis 2

Ford Pinto: Is Cost-Benefit Analysis Allowed in Ethical Decision Making?

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Identification of Problem(s):

The problems with findings of Ford Pinto car are the design of gas tank that it does not meet the safety standards. The gas tank placed behind the rear tire without protection against the leakages. If there are any accidents and does not contain protection, it could cause serious accidents that could be fatal and damaged to the company reputation. If there are small accidents and the speed was slowed like 30mph, it can still cause serious accidents by gas leaking which can cause fire or explode. Lastly, this type of accidents can spread out in the media at time like breaking news because of powerful lens due to severe societal impact. (Brömmelstroet, December 2019) It is a safety hazards because it can cause fatalities, injuries, lawsuits, and damage to reputation. So the issues is missing rubber bladder or not installed the rubber bladder properly, it can cause burnt vehicles, causing deaths, injuries, lawsuits, damage to reputation, and losing profits.

Decision Criteria:

Based on the decision criteria, several conditions must be met during the product development:

Conditions	Reason for conditions to be met during the product development
Financial	▪ Tends to keep production cost by maximum $2000 per car ▪ To stay competitive
Time	▪ Must meet tight production by the deadlines to compete with Japanese automakers ▪ Establishing its target market to make best practices (Peterdy)
Legal Compliance	▪ Must meet safety regulations like gas tank need to be remain intact in case of collision at a speed of 20mph or slower
Ethical	▪ Should be responsibility by rights to life and ensure to meet safety expectations by protecting consumers and stated in regulations ▪ Protect lives and maintain integrity ▪ By being honest, trustworthy, adhering to company values, consistent, and making decisions ethically (Gardiner, March 2024)
Reputation	▪ Maintain trust by ensure to stay on right track, this prevents another incident ▪ Making sure the balance cost and time along understanding with following the safety hazards and ethics

Analysis:

Based on the problems findings in Ford Pinto car, it shows that Ford Pinto had some issues with design flaw which increase the safety issues, management issues, ethical misjudgment, and organizational issues which can affect the company's profits and reputation. Firstly, Ford Pinto had a design flaw and safety risk. Based on the design flaw and safety risks, gas tank placed behind the rear axle without protection and no isolation against leaks causing incidents. It is vulnerable to rupturing in rear impacts. (Kahn, 2025) It can cause potential for spills, leaks, explosions, fire and environment incidents if accidents happen. (Germania Mutual Insurance) However, Ford engineers knew that there could be safety hazards especially driving at the slow speeds like 30 mph, but they still keep going with the production in order to reach the deadlines. Ford decided to keep the car design simple, concise, and keep the production cost no more than $2000 to stay competitive. It reflects utilitarian business mindset. Ford focus more on total market and cost efficiency than consumer safety. Ford may experience with decrease the production cost outweighed potential harm. To keep markets productive by increases the economic for Ford business are stimulate sales and market growth, keep the lines running efficiently, keep the production output and employment, and strengthen Ford's contribution. (Government of Canada)

Secondly, based on the corporate decision-making and cost benefit analysis based on the ethical misjudgement, Ford plans to install rubber bladder for $11 per each, but management refused due to additional expense of $137.5 million because of lower financial risk and stay competitive. (SixSigma, August 2024) Ford management though the rubber bladder can be as cost inefficiency can cause additional production expenses and could slow market during the rollout. The problem with the Ford is trying to stay competitive in the market. Managers and Statistician calculated $12.5 million that planned to be produced with an additional expense of $137.5 million,

while the accident could cost $49.5 million. This kind of decision implies Ford misuse the cost-benefit analysis due to teleological reasoning and more focus on the profit over the safety hazards. Ford violates deontological ethics because Ford did not obey the human rights by protecting human life in regardless of financial cost. However, if there are any accidents that involves without protection, the cost of fatality could be $200,000 per person, serious injury would be $67,000 per each and burned car cost $700 per cars. But Ford still wanted to not install the bladder for protection. It is a possibility that Ford delayed or failed to issue a recall (Law, May 2025) Based on the Law's article, Ford failed to protect consumers and potential liability for failing issue a recall. Ford can be seen as negligence and failed to act responsibly. It can conflict between profit and safety.

Lastly, Ford had ethical and organizational issues because Ford use an unethical cost-benefit analysis by putting monetary values on human lives and decide not to recall or fixing the defective cars. Ford did not recall which could save millions of dollars, but there could be unnecessary fatal and injury if there are number of spikes in the same incidents that involving defect cars. However, if same situations occur, it can cost millions of dollars to settle the lawsuits and cause bad publicity and tarnished reputation. It could be ethical misconduct due to unethical behaviour which can impact company reputation which can cause losing of trust. (Bolster) Ford knowingly risked human lives over profits. Ford involved conflicts with virtual ethics due to not showing the integrity and moral judgement based on the company culture. Based on the stakeholders, Ford faced some difficulties because Ford prioritized profits over the safety hazards. As the results, Ford ignores ethics for cost savings can backfire due to ethical misconduct, financial risks, legal liability, and harm to reputation.

Alternatives

1. **Install the protective rubber bladder immediately before production:**

Pros	▪ Improves passenger safety ▪ Reduce the chance of getting big accidents ▪ More consumer trust
Cons	▪ Additional cost per car ($11/car) which is the total of $137.5 million ▪ Potential production delays while making design changes ▪ Reduce short-term profit margins
Ethical Evaluation	▪ Showing that it is deontological ethics which protects to human life to prevent from getting hurt ▪ Reflect Ford's ethical obligation to prevent future harm

2. **Continue Production but issue a recall once design flaws are confirmed:**

Pros	▪ Help maintain competitive market ▪ Gives time to understand the full risk impact ▪ Tend to have safer solutions later
Cons	▪ Delays safety action which can be as safety hazards and increase the long-term cost due to damage and reputation
Ethical Evaluation	▪ Reactive approach by acting fast to prevent from getting injuries and fatal ▪ Like if you see something, say something ▪ Demonstrates weak risk management and delayed accountability

3. **Continue Production without any changes:**

Pros	▪ Does not contain additional manufacturing costs ▪ Keep the cost advantage and short-term profitability ▪ Avoid production delays
Cons	▪ Due to gas tank design flaw, it is risker of getting serious accidents, fires, and fatalities ▪ Loss of consumer trust ▪ Bad reputation due to long-term reputational damage
Ethical Evaluation	▪ Due to foreseeable harm, it violates utilitarian and duty-based ethics which Ford take a risk with human lives while focusing maintain profits

Decision(s)/Recommendations

Therefore, the recommendations is let Ford install the protective rubber bladder before launching the Pinto despite an additional cost of $11 per car. It shows moral responsibilities and aligns with CSR principles by following the safety hazards standards over the profit. However, it increases

the short-term cost but decision is avoiding the long-term expenses from reputational damage which helps with the money savings. Finally, addressing the safety defects by doing recall, it prevents from repeatable accidents. Showing ethical leadership apart form risky short-term goals, it implies with sustainable competitiveness.

Implementation:

5 W and How	Answer
What	▪ Install $11 rubber bladder ▪ Modify the rear fuel tank for entire Pinto models
When	▪ Immediate modification before mass production
Who	▪ Engineering Designer: Redesign/modify and test new safety component ▪ Safety Audit: Inspect all the cars to ensure that meets the safety standards ▪ Corporate Manager: Approve the budget and communicate decisions in the public by website or on the news
Why	▪ Top priority is safety which reduce the long-term liability ▪ Avoid the loss of consumer trust which meets the ethical and legal responsibilities
How	▪ Conduct crash test with bladder installed to confirm for improvement ▪ Launch recall program if companies received the same issues due to manufacture defects, ensures to prioritize safety acts by preventing similar incidents ▪ Decide in communication, this will notify for keeping update with Ford based on transparency and safety ▪ Maintain the log track for future complaints or incidents, it ensures that Ford's company learn from mistakes which reduce the chances of getting accidents

Question and Answer

1. Ethical dilemma in the case shows Ford sell the cars without protection for gas tank which could explode if rear-end accidents. Ford decided to use more on profits and productions over the safety hazards. Manager focused more on financial savings over the ethical duty to protect consumers. The concept of unethical cost-benefit analysis which calculates for Rubber Bladder options cost $11 per car which is the total cost of $137.5 million. However, if accidents incur, the expected cost would be $200,000 per fatal, $67,000 per injury, and $700 per burnt cars. However, Ford decided not to install the bladder so they can save the profits. For Ford, the advantages are short-term financial savings, faster production to compete with Japanese automakers, and meet the minimal safety regulations. The disadvantage with Ford is experiences with biggest reputational damage, loss of customer trust, lawsuits, and recall costs.

2. The company would take advantage of Ford's ethical issues to gain competitive advantage by promoting the safety standards to attract potential Ford's customer. I would take safety very seriously and better company reputation. I would emphasize ethical manufacturing and consumer safety. I think it is better to test the vehicle to ensure that it is working in good conditions, no issues, and confirm if it meets the safety standards as safety measures. Showing Ford as trustworthy and socially responsible. The importance of ethics and corporate social responsibility to an organizational success by showing trust and brand reputation, making sure long-term profitability are sustainable, show employee pride and customer loyalty as showing as diversity and curiosity. Lastly, staying in the market by making more competitive.

3. The reason for the unethical behavior by Ford not installing the protecting rubber bladder are trying to keep competitive by pressure to minimize cost and make production up to maximum of $2000, making development rush. Ford may think that Pinto may meet legal standards by passing 20 mph safety test. Ford shows underestimation of ethical implications that claims human lives and company reputation. Lastly, Ford tends to compete with Japanese automaker. The impact of Ford's decision to recall on the different stakeholders of customers that if accidents happen, it claims their lives and losing trust in safety standards, suppliers can cause disruption of supply contracts which cause bad reputation, and the company could have mass lawsuits and recall cost, spreading rumours in the media, long-term damage which could terminate the Pinto production and could affect the business ethics and need to corporate responsibility.

4. The situations where cost-benefit analysis is appropriate for an organization by making sure to follow the safety standards to reduce the risk, comparing non-ethical alternatives, making sure to comply with ethical standards, legal, and ethical safeguards. Using proper ethical standards in the public policy or risk management. The different costs which companies should consider in their financial decision making are direct financial cost like materials, labor and operations, indirect cost which could be use for training to get familiar with the models and maintenance if needed, social costs for safety and community trust, reputational costs based on the company damage, legal cost like fines, and ethical cost like human lives, injuries and long-term social consequences.

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